

House View — Macro and Asset-Class Outlook

1 July 2026 · Version 1.4 · **Base currency: EUR**

Benchmark: Strategic Asset Allocation v1.2 (Growth, target CPI + 5%).

Sources: NexSky's own view, informed by UBS, Syz, Pictet, J.P. Morgan and Luccai, plus family-office peer data. Not a consensus average. Market data to 30 June 2026.

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Summary

The risk the June view flagged as rising started to play out. In the week of 19 to 26 June a sharp, narrow sell-off hit the AI complex: the Nasdaq 100 fell 4.2%, semiconductors 7.7% and the Magnificent Seven 5.9%, while the equal-weight S&P rose 1.6%, the Russell 2000 1.0% and healthcare 7.9%. That is the broadening and the defensive rotation we have been positioned for, triggered by doubts over whether more than 450 billion dollars of 2026 hyperscaler capex earns a proportionate return. The Fed, under Warsh, held at 3.50 to 3.75% on 17 June but turned its dot plot to a hike for 2026 and lifted its year-end PCE projection to 3.6%, with seventeen of eighteen members seeing inflation risk to the upside. Hawkish-for-longer is now in the projections, not just the rhetoric.

Risk then stabilised into month-end: the Nasdaq rebounded 2.1% on 30 June in a broad risk-on session and the S&P closed the month near 7,440, with the 10-year Treasury steady at 4.38%, Brent at 73.5 dollars, EUR/USD at 1.14 and USD/JPY at 162. The bounce is consistent with our read that late June was a valuation reset, not a fundamental break, and does not change the direction of travel.

We are not changing the architecture of the view, we are leaning further into it. We stay constructive on equities but more selective, tilted to quality, defensives and non-US. We keep short duration with a belly and quality hedge for the growth-scare case. We hold gold through a deep pullback and would top up. We strengthen the long-dollar and short-high-yield calls, and we turn modestly more constructive on energy as Middle East risk re-prices. The two adverse regimes now outweigh the continuation path for the first time.

1 Macro and Geopolitical Outlook

No anointed base case. The next 12 months remain multi-modal, and this month the balance shifted toward the two adverse regimes, which now total 55%. The map below is mutually exclusive and sums to 100.

Scenario	Prob.	Trend	What it looks like
Muddle-through	30%	↓	Contained inflation, growth near 2%, AI capex continues with good-enough monetisation, Fed on hold. Still the single largest path but no longer a plurality.
AI air-pocket	30%	↑	AI monetisation doubts, Alphabet talent departures and an OpenAI listing delay drove a 5.9% Mag7 fall and a

Scenario	Prob.	Trend	What it looks like
			7.7% semis fall in a week. If it deepens, mega-cap and semis de-rate and lead a drawdown with benign inflation, so long duration rallies. Now level with muddle-through.
Oil / Hormuz stagflation	25%	↑	Raised. Energy re-entered the Fed's inflation reasoning and the de-escalation looks fragile. A disruption spikes Brent, re-accelerates inflation and forces tightening into a slowdown.
Genuine soft landing	15%	↓	Lowered. With core PCE near 3.4%, headline above 4% and the Fed flipping to a hike, the disinflation leg has weakened. The least likely path.

Trend is our read on the direction of travel of each probability: risk continues to migrate toward the AI air-pocket and, newly, toward the oil shock, away from muddle-through and the soft landing.

Above all four sits the fiscal and bond-market accident (Key Risks 3): not a regime, but the tail that makes any scenario worse, and the main reason we hold gold and some quality duration rather than optimising to one path. The two adverse regimes break in opposite directions, one deflationary and equity-led, one inflationary and rate-led, so we keep hedging both ends.

2 Key Trends — next 12 months

- 1. Hawkish-for-longer is now in the dots, not just the talk.** The June projection flipped the 2026 median to a hike and raised year-end PCE to 3.6%. Cash and short-duration carry rewarded, long duration vulnerable, except in the air-pocket where it is a hedge.
- 2. AI capex supercycle meets its first real valuation test.** Combined 2026 hyperscaler capex above 450 billion dollars with no proportionate return yet identified; the late-June reset was a valuation reset, not a fundamental break (Micron's blowout quarter confirmed the demand). Selectivity over beta.
- 3. Equity broadening, confirmed.** The sharpest growth-versus-value divergence of the year: value roughly flat, growth down 3.7% in a week, defensives and small caps up. Diversify beyond US mega-cap.
- 4. Energy and geopolitics back as the swing factor.** The ceasefire is fragile and energy re-entered the Fed's inflation reasoning. Oil is again the dominant two-way driver of inflation and risk appetite.
- 5. Dollar firm on a widening rate gap.** The Fed turning to a hike against an ECB whose surveyed inflation expectations are easing to 3.5% widens the differential in the dollar's favour.

3 Structural and Long-term Trends

- 1. AI, power and compute.** A multi-year capex and electricity-demand supercycle; own the value chain (semis, power, infrastructure), not just mega-cap. The June reset does not change the structure.
- 2. Fiscal dominance and high public debt.** Structurally higher term premia, periodic bond-market stress, and a tailwind for gold.
- 3. Multipolarity and de-globalisation.** Reshoring, defence, commodities and a persistent geopolitical risk premium.

4. **Central-bank gold accumulation and reserve diversification.** Central banks bought 244 tonnes in Q1 2026, above the five-year average; a structural bid that underpins gold through its drawdown.
5. **Institutionalisation of family-office capital.** Allocations converging with institutions, especially in private markets at about 30%.

4 Tactical View — 1 to 3 months

Stance: constructive but more selective. Risk-on equities tilted to quality, defensives and non-US; short duration with a belly hedge; gold and long-dollar as hedges; modestly more constructive on energy.

What we would do now: stay long equities but keep broadening into Japan, EM equity, Europe, quality cyclicals, financials, industrials and the AI value chain, and keep trimming US mega-cap concentration. Run short and belly duration for carry, and add belly and quality bonds as the air-pocket hedge. Hold the strategic 5% gold through this dip and use the pullback to top up toward target. Stay long the dollar through the FX overlay. Lift the energy-equity tail hedge modestly on renewed Hormuz risk.

Duration caveat: our underweight-duration tilt is a muddle-through and stagflation call. In the AI air-pocket, a growth scare with benign inflation, long duration rallies, so that regime is hedged by the belly, quality bonds and the 5% gold, not by the short-duration tilt. With the air-pocket probability now at 30%, that hedge matters more this month.

5 Key Risks to the Thesis

1. **AI capex disappoints on ROI.** Spend above 450 billion dollars is ahead of monetisation; a retrenchment takes semis, power demand, equity leadership and the earnings base with it. Our single biggest structural risk and the trigger for the air-pocket, now part-realised.
2. **Iran and Hormuz re-escalation.** A fragile ceasefire; a breakdown reopens the oil and inflation tail and forces harder tightening into a slowdown.
3. **Fiscal and bond-market accident.** A buyers' strike in Treasuries or gilts spikes term premia and resets every discount rate. The cross-cutting tail above every regime.
4. **Fed credibility under Warsh.** A policy error or perceived loss of independence un-anchors inflation expectations and the dollar.
5. **Dollar and reserve shock.** A disorderly dollar move or faster reserve diversification that breaks cross-asset correlations.
6. **Other geopolitical flashpoints.** Taiwan compounds risk 1 by hitting the AI and semis supply chain directly; Ukraine and Russia via European energy.

6 Asset-Class Scorecard

Rating note: we rate the full scale including Reduce, our explicit sell, where the sell-side rarely does. Current Reduce calls: HY credit, long-duration Treasuries, UK gilts, EM local debt and FX, crypto beyond the strategic 2%.

#	Asset class	3 m	6 m	12 m	Stance	Conv.	Our view vs the Street
1	Equities — US	→	→	↑	Neutral	★★★	Below UBS (Attractive). Broaden, do not add to mega-cap. 6m softened on valuation-reset risk.
2	Equities — Europe	↑	↑	→	Overweight	★★★★	More constructive than UBS (Neutral). Conviction raised after relative outperformance and falling EU inflation expectations.
3	Equities — Japan	→	↑	→	Overweight	★★★★	Aligned with UBS and Syz. 3m softened on semis beta; structure intact. Watch the yen squeeze.
4	Equities — EM / Asia ex-JP	→	↑	↑	Overweight	★★★	Take EM in equity form, UW EM local and FX (Pictet barbell). Near-term softened after the semis-led drawdown.
5	Govt bonds — EUR	→	→	↑	UW duration	★★★	With Syz and Pictet. 3m softened on EU inflation expectations easing to 3.5%. Prefer the short end; add belly as a hedge.
6	Govt bonds — US Treasuries	→	→	↑	Reduce long	★★★	Against UBS (Attractive). Dot plot flipped to a hike. 5-year best risk-reward; belly for carry and air-pocket hedge.
7	Govt bonds — UK Gilts	↓	→	→	Reduce	★★★	Avoid; fiscal and political risk premium rising. Unchanged.
8	Credit — Investment Grade	→	→	→	Neutral	★★	Carry only; spreads near 80bps offer little cushion into risk-off.
9	Credit — High Yield	→	↓	→	Reduce	★★★★	Not paid for the risk; spreads near 300bps into a rising air-pocket. Conviction raised.
10	EM debt (hard & local)	→	↓	→	Reduce local	★★★	Pictet barbell; a strong dollar pressures local and FX. Hard-currency carry acceptable.
11	Gold	→	↑	↑	OW (5%)	★★★★	Hold through the dip and top up. The ~25% pullback is the near-term headwind we flagged; structural demand intact.
12	Commodities — energy	→	↑	↑	N / OW	★★★	Turning modestly more constructive. Renewed Hormuz risk re-prices the optionality. Energy equity as a tail hedge.
13	Commodities — metals	→	↑	↑	N / OW	★★★	We like copper, with UBS; structural on AI, power and electrification.
14	FX — EUR/USD	↓	→	→	Long USD	★★★★	Against UBS's EUR/USD 1.20. The widening rate gap supports the

#	Asset class	3 m	6 m	12 m	Stance	Conv.	Our view vs the Street
	(overlay)						dollar. Conviction raised.
15	FX — CHF & havens	→	→	→	Neutral	★★	A three-way split, kept small and flagged; haven bid on Hormuz risk.
16	Hedge funds	↑	→	→	N / OW	★★★★	High dispersion and the sharpest growth-versus-value split of the year reward macro, multi-strat and low-net L/S. Conviction raised.
17	Private equity & credit	↑	↑	↑	Overweight	★★★★	The core engine, deployed via commitment pacing. Structural overweight, SAA at 30% privates.
18	Real estate & infrastructure	→	↑	↑	N / OW	★★★	Logistics, data centres, residential, real-estate debt and energy-transition infrastructure. Selective.
19	Crypto (BTC & ETH)	↓	→	→	Reduce	★★	Reduce beyond the strategic 2%; weak momentum, risk-off backdrop.

↑ bullish · → neutral or range · ↓ bearish, on the asset's price. Duration rows expressed on bond prices. Stance vs Strategic Asset Allocation v1.2; conviction shown 1 to 5.

Where we diverge from the Street. Underweight duration (with Syz and Pictet), against UBS's lock-in-yields call. Long the dollar (with Syz and Pictet), against UBS's EUR/USD 1.20 call; conviction raised on the widening rate gap. US equity Neutral, not Attractive; the late-June reset rewarded broadening over adding to mega-cap. Gold overweight and hold-the-dip, accepting the deep near-term pullback for the structural double hedge.

Where we agree (high confidence). Constructive equities with broadening; favour Japan, EM equity and Europe; hawkish rates and short duration; firmer dollar; long-term AI and power, fiscal-dominance and gold themes.

What changed from v1.3 to v1.4

Item	v1.3 (28 Jun)	v1.4 (1 Jul)	Why
Scenario map	35 / 25 / 20 / 20	30 / 30 / 25 / 15	Air-pocket part-realised; oil risk re-priced up; soft landing down. Adverse regimes now 55%.
Europe equities	OW ★★★	OW ★★★★★	Relative outperformance in the sell-off; EU inflation expectations easing to 3.5%.
Japan equities	OW ★★★★★, 3m ↑	OW ★★★★★, 3m →	Near-term softened on semis beta; structure intact.
EM / Asia	OW ★★★, 3m ↑	OW ★★★, 3m →	Hardest hit in the drawdown on semis concentration and a strong dollar.
US equities	N ★★★, 6m ↑	N ★★★, 6m →	Valuation-reset risk after the mega-cap de-rate.
Govt bonds EUR	UW, 3m ↓	UW, 3m →	EU inflation expectations easing plus a growth-scare bid.
HY credit	Reduce ★★★	Reduce ★★★★★	Tight spreads into a rising risk-off and air-pocket probability.
Energy	N ★★	N / OW ★★★★★, 6m	Renewed Hormuz risk and energy back

Item	v1.3 (28 Jun)	v1.4 (1 Jul)	Why
		↑	in the Fed's reasoning.
FX — USD	Long ★★★	Long ★★★★★	Widening rate differential, Fed hike versus ECB easing expectations.
Hedge funds	N / OW ★★★	N / OW ★★★★★	Dispersion and the regime-shift style divergence.
Gold	OW ★★★★★	OW ★★★★★ (top up)	Hold the ~25% dip; structural demand intact. Guidance to top up toward 5%.

All other rows unchanged.

Internal house view prepared by the NexSky CIO function. Not investment advice or a solicitation. Figures are point-in-time and sourced to the filed bank reports plus the June Fed projections. Private and confidential.